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IN THE

Supreme Court of the United States

OCTOBER TERM, 1998

CALIFORNIA PUBLIC EMPLOYEES' RETIREMENT SYSTEM, *et al.*,

Petitioners,

v.

PAUL FELZEN, *et al.*,

Respondents.

On Writ of Certiorari to the United States Court of Appeals for the Seventh Circuit

BRIEF FOR RESPONDENTS THE DIRECTORS OF ARCHER DANIELS MIDLAND COMPANY

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QUESTION PRESENTED

Whether a nonparty shareholder who appears, in response to notice provided under Federal Rule of Civil Procedure 23.1, to present objections to a proposed dismissal or settlement of a derivative action may appeal an adverse decision even though the shareholder has not been formally made a party to the action.

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BRIEF FOR RESPONDENTS THE DIRECTORS OF ARCHER DANIELS MIDLAND COMPANY

JURISDICTION

Title 28 U.S.C. § 1254(1), which petitioners invoke for this Court's jurisdiction, Pet. Cert. 1, authorizes review of cases in the courts of appeal by writ of *certiorari* "granted upon the petition of any party to any civil or criminal case." Petitioners describe themselves as "parties in the court of appeals." Pet. Br. ii.

This Court has said that "[o]ne who has been denied the right to intervene in a case in a court of appeals may petition for a writ of *certiorari* to review that

ruling." *Izumi Seimitsu Kogyo Kabushiki Kaisha v. U.S. Philips Corp.*, 510 U.S. 27, 30 (1993); *cf. Hohn v. United States*, ___ U.S. ___, 118 S. Ct. 1969, 1975-76 (1998). Petitioners specifically claimed a right to appeal as nonparties, J.A. 349, and did not seek to intervene in either the district court or the court of appeals. It appears that jurisdiction under § 1254(1) may be lacking.

STATUTE AND RULES INVOLVED

Rules 23, 23.1 and 24 of the Federal Rules of Civil Procedure, 28 U.S.C. § 1254, and former Federal Equity Rules 27 (1912) and 94 (1882) are reproduced as addenda to the brief filed by respondent Archer Daniels Midland Company.

STATEMENT OF THE CASE

The facts which gave rise to this action are not disputed. Certain material matters, however, have been overlooked by petitioners in their brief. These facts should be kept in mind in considering whether to grant objecting shareholders, who do not purport to act for *all* shareholders of the Archer Daniels Midland Company, the right to delay implementation of a settlement of a *corporate* claim to which more than 99% of the corporation's shareholders do not object.

These derivative actions were brought by two separate plaintiffs ("representative plaintiffs") in the name of the Archer Daniels Midland Company ("ADM" or the "Company"). JA 48. Their claims were consolidated in the United States District Court for the Central District of Illinois. The representative plaintiffs sought to assert

claims against the seventeen directors of the Company as of June 27, 1995 ("director defendants") for alleged breaches of their fiduciary duties, for abuse of their control of the Company and for gross mismanagement in failing to prevent ADM employees from violating the law. JA 56.[1] The claims stemmed from the highly publicized investigation of ADM, some of its employees, and a number of its competitors, for alleged price-fixing in the markets for lysine, citric acid and high fructose corn syrup. When the Company pleaded guilty to fixing prices in the lysine and citric acid markets, paying a $100 million fine, the representative plaintiffs amended their claims to assert further breaches of fiduciary duty by the director defendants in their failure to investigate these allegations and to cooperate with the government in pursuing two of the three ADM employees personally indicted (and ultimately convicted) for their role in the lysine scheme. JA 95-105.

The Company and the director defendants moved to dismiss the claims because the representative plaintiffs had failed to make the requisite demand on the Company's board of directors under Rule 23.1 of the Federal Rules of Civil Procedure ("Rules") to pursue these claims, and had failed to allege particularized facts why such a demand would be futile under Delaware law. The Company and the director defendants also asserted that Article Fourteenth of the Company's certificate of

---

[1] Fourteen similar claims were filed by representative plaintiffs and consolidated in the Court of Chancery of New Castle County, Delaware. JA 108-09, 160. ADM is organized and exists under the laws of Delaware. Its principal place of business is in Decatur, Illinois. JA 36. Delaware law governs the conduct of the Company's affairs.

incorporation shielded its directors from liability for their actions as directors. JA 110. The motion to dismiss was granted on April 26, 1996. JA 201. The representative plaintiffs were given leave to amend, which they did. Although discovery is routinely denied plaintiffs while such motions are pending, the representative plaintiffs reviewed over 170 boxes of documents which ADM had placed in a depository, scouring for evidence to support their allegations of board wrongdoing or demand futility. JA 161. Yet, faced with a renewed motion to dismiss on the same grounds, the representative plaintiffs were forced to admit that they had found "no evidence that any director of ADM, other than Michael D. Andreas, was aware of any price fixing activities, or that the ADM Board systematically failed to exercise its oversight responsibilities." JA 205.

The representative plaintiffs then initiated settlement discussions with the Company and the director defendants. After several months of negotiations, the representative plaintiffs agreed that it would be appropriate to settle the derivative suit if the Company (1) agreed to implement specific changes in the way in which the Company governed itself; (2) agreed to reserve the claim which the Company may have against the one director defendant and the other officers indicted for fixing prices, with any such claims to be considered by disinterested directors at final disposition of the criminal claims against that director and those officers;[2] and

[2] All ADM employees except two received immunity from prosecution as a condition of the corporate plea. These two former officers, along with a former government mole, were found guilty of price-fixing on September 17, 1998. The Memo-

(continued...)

(3) agreed to maintain an Audit Committee of non-management directors for a period of at least three years to review the Company's law compliance and to investigate whether the Company was engaged in anti-competitive activities in any market in which it does business. JA 211-12. The director defendants also prevailed upon their insurance carrier to create an $8 million escrow to settle the derivative claims, with the Company to receive the balance of the monies to fund the activities of the Audit Committee after the representative plaintiffs' costs and counsel fees had been paid. JA 196, 210.

By the time the settlement terms were agreed, several significant changes had taken place at the Company. Of the seventeen director defendants, ten had resigned or retired from the board, and an eleventh had retired from the Company. Five new independent

[2] (...continued)

randum of Understanding executed between the Company and the representative plaintiffs committed the decision to pursue corporate claims against the two officers to the Company's board after final disposition of the criminal proceedings, as provided in the indemnification agreements executed pursuant to Article X of the Company's by-laws. This by-law setting the disinterested directors' obligation to consider appropriate claims at final disposition of the government's claims against these individuals was a significant impediment to successful prosecution of any derivative claim: "A decision whether or not a corporation will sue an alleged wrongdoer is no different from any other corporate decision to be made in the collective discretion of the disinterested directors." *Burks v. Lasker*, 441 U.S. 471, 486 (1979) (Stewart, J., concurring).

The Delaware plaintiffs agreed to be bound by the terms of the settlement presented to the district court. Those actions are stayed pending this Court's decision, but will be dismissed upon final dismissal of the consolidated action below. JA 123.

directors had been added to the board. JA 207, 210. The board of directors had shrunk to thirteen, with a clear majority of outside directors. JA 280. The only management member of the board was the Company's new Chief Executive Officer. JA 280. Counsel for the representative plaintiffs recognized that these changes were consistent with their litigation goals, JA 210, but also posed legal impediments to their maintenance of a derivative suit in the face of a newly independent board of directors who were no longer even inferentially dominated by interested defendant directors. JA 214.

During these settlement discussions, the representative plaintiffs consulted with a number of the Company's institutional investors. Months before a settlement was reached, counsel for the representative plaintiffs met with the general counsel of petitioner California Public Employees' Retirement System ("CalPERS"), the Deputy Controller for Pensions of New York City, a representative of the Teamsters Pension Fund, a representative of the Carpenters Pension Fund, and two representatives of *amicus* Council of Institutional Investors ("CII"), to advise them of the negotiations and likely settlement terms. JA 208-09. The representative plaintiffs also engaged experts in the field of corporate governance to analyze the elements of the proposed settlement. JA 209. Similarly, the director defendants surveyed the field of corporate governance. JA 209. Both sides offered affidavits to the district court analyzing the nature of the governance reforms reflected in the proposed settlement.

As reflected in the affidavit submitted to the district court by John C. Coffee, Adolf A. Berle Professor of Law at Columbia University Law School, the governance

provisions developed during the settlement process "represent more or less the 'state of the art' in American corporate governance today." JA 226. Professor Coffee compared the governance provisions in the proposed settlement with the American Law Institute's PRINCIPLES OF CORPORATE GOVERNANCE: ANALYSIS AND RECOMMENDATIONS (1992), the CORPORATE DIRECTORS HANDBOOK prepared by the Business Law Section of the American Bar Association (49 BUS. LAW. 1243 (1994)), CII's Shareholder Bill of Rights, CalPERS' proposed governance guidelines, the guidelines of the National Association of Corporate Directors, and the 1994 General Motors Guidelines on Significant Corporate Governance Issues. JA 225-26. Professor Coffee concluded that the governance provisions of the proposed settlement "do that which can feasibly be done: establish a framework for effective monitoring and facilitate the evolution (which will not necessarily occur overnight) of an active and independent board." JA 231. Similarly, Michael P. Dooley, William S. Potter Professor of Law at the University of Virginia, surveyed the corporate governance structure of other corporations, studied recent changes which other corporations had made in their governance structures, and conducted an exhaustive review of the corporate governance literature. JA 277. Professor Dooley concluded that the proposed settlement terms "will move ADM to the very forefront of American corporations in terms of corporate governance." JA 281. Based upon this advice, the parties reached a decision which provides petitioners' motivation for this appeal: the representative plaintiffs, the Company and the director defendants declined to adopt wholesale CalPERS' governance recommendations.

The district court preliminarily approved the proposed settlement and notice of the settlement was sent to the holders of over 525 million shares of ADM stock. The notice stated that it was being sent "merely to advise you of the pendency and proposed Settlement of the Derivative Claims and of your rights thereunder." JA 135. The notice also advised that "[a]ny current shareholder of ADM may appear at the Settlement Hearing." JA 140. On the day the notice was mailed, CalPERS and CII were aware of the specific terms of the settlement. JA 313. CalPERS, along with petitioner Florida State Board of Administration ("FSBA"), filed objections to the settlement, supported by two affidavits submitted to the district court by CII (an organization of which CalPERS and FSBA are two of the largest members, JA 318). CalPERS and FSBA were but two of the Company's 367 institutional shareholders; none of the other 365 objected. JA 343. The total number of shares objecting to the settlement comprised less than 1% of the outstanding holdings of the Company's shareholders. JA 343. All objections were considered by the district court on July 7, 1997.

CalPERS and FSBA objected to two elements of the proposed settlement: the amount of the settlement escrow to be paid to attorneys; and the governance changes themselves, particularly the definition by which the Company would assess a director's "independence" of management. Petitioners did not object to the principal agreement in the proposed settlement that any claims against the only director against whom the representative plaintiffs had developed evidence would be considered by the Company's board of directors after final disposition of the government's claims against that

director. Petitioners also did not object to the establishment of an Audit Committee composed entirely of non-management directors who had joined the board *after* the events giving rise to the claims. Nor did petitioners object to the mandate of a compliance review and complete antitrust audit of the Company's activities. Instead, petitioners made oblique suggestions of possible collusion in the proposed settlement. JA 305-06. When the district court demanded clarification of their objection, however, petitioners denied that they were claiming impropriety in the way the settlement was reached. JA 338 ("I make no assertion of any impropriety, Your Honor.").

Petitioners also did not comment on the patent weaknesses in the representative plaintiffs' claims under Delaware law arising from plaintiffs' failure to make a demand upon the Company's board of directors to pursue these claims, or from the protections afforded the director defendants by the Company's articles of incorporation. In their original objection, petitioners focused entirely on attorneys' fees and governance principles. They made no objection to the settlement escrow of $8 million, taken from a $10 million insurance policy that contained exclusions potentially applicable to the conduct which the representative plaintiffs had alleged, other than to say that too much money would be going to lawyers.[3]

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[3] The Company and the director defendants left the issue of plaintiffs' attorneys' fees to the district court's discretion. Contrary to petitioners' assertion that the balance of the settlement funds remaining after payment of plaintiffs' counsel would go to even more lawyers, the escrow is committed to the

(continued...)

Petitioners did object to the definition of "independence" to be used in evaluating the Company's non-management directors. Petitioners urged the same definition of independence which they had proposed at the Company's 1996 annual meeting; that proposal failed in a shareholder vote. JA 318-19. Petitioners therefore sought to derail the settlement reached with the representative plaintiffs unless petitioners' definition of independence was adopted as a part of the settlement. The district court confronted this controversy in colloquy, JA 340, with petitioners' counsel:

> THE COURT: They didn't agree with you in summary.
>
> MR. HANSEN: I am sorry.
>
> THE COURT: I say they didn't agree with you.
>
> MR. HANSEN: They didn't negotiate.
>
> THE COURT: With your clients, they didn't agree with your clients.

The district court overruled petitioners' objections and approved the proposed settlement. Petitioners did not thereafter seek to intervene pursuant to Rule 24, or otherwise to appear to represent the interests of the Company's shareholders under Rule 23.1. Within seven days of the district court's order approving the settlement, petitioners filed a notice of appeal to the United States Court of Appeals for the Seventh Circuit. JA 28. The representative plaintiffs moved to dismiss the appeal on the jurisdictional ground that petitioners had never become parties to the action below under Rule 23.1, and should not be allowed to circumvent the provisions of that Rule to delay implementation of a settlement favored by 99% of the Company's shares in order to advance petitioners' own governance agenda. JA 32. The court of appeals agreed and dismissed the appeal on the authority of this Court's decision in *Marino v. Ortiz*, 484 U.S. 301 (1988). JA 33. This Court granted petitioners' request for a writ of *certiorari* on September 29, 1998, restricted to the question whether an objecting nonparty shareholder may appeal the settlement even though the shareholder has not been formally made a party to the action. JA 351.

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[3] (...continued)
Company's Audit Committee "to satisfy its independent review responsibilities as set forth in Exhibit A [to the settlement], and for any training or educational efforts undertaken at the Audit Committee's direction." JA 119.

SUMMARY OF ARGUMENT

Petitioners made a decision not to join the action below as parties and have no right to appeal. Under the rule governing federal derivative actions, shareholders' participation is strictly limited, and only those who meet the requirements of Rule 23.1 may become parties and appeal from the district court's decision. The rule reflects the essential nature of a derivative action, which is not an action brought by shareholders for their own benefit, but one brought by representative shareholders to enforce a right of the corporation. As a result, petitioners must have done more than simply object to settlement of a suit—which is what the rule permits—if they expected to create a right to appeal. That avenue, intervention under Rule 24, was readily available to petitioners. Despite the fact that they have taken advantage of that avenue in other cases, petition-

ers declined to do so in this case, depriving the Seventh Circuit of appellate jurisdiction.

The court of appeals' refusal to permit petitioners to circumvent the rules governing derivative actions is not inconsistent with the precedent, discussed at great length in the briefs of petitioners and the government, which permits nonparties to appeal under certain circumstances. In fact, all of these cases involve nonparties who were directly bound or affected by a court order. Many of them involved nonparties who were effectively named in what may be characterized as process issued by the court. Such cases are distinct from a derivative suit, where only the corporation is directly bound or affected by the court's approval of a settlement. The rules permit a shareholder to receive notice of and be heard on a proposed settlement, but because of the shareholder's distance from the suit, they permit nothing more.

ARGUMENT

I. PETITIONERS' DECISION NOT TO SEEK TO JOIN THE ACTION AS REPRESENTATIVE PLAINTIFFS CONTROLS THEIR STATUS AND BARS THEIR AVENUE OF APPEAL.

A. Derivative Suits, a Creature of the Equity Courts, Proceed Only Within the Procedural Limitations of the Federal Rules.

A derivative suit is a corporate claim which some shareholders, purporting to speak for *all* shareholders, assert for the corporation because the board of directors has failed to make the claim. One or more shareholders are permitted "to step into the corporation's shoes and to seek in its right the restitution he could not demand

on his own." *Cohen v. Beneficial Indus. Loan Corp.*, 337 U.S. 541, 548 (1949). Since corporations are run by their directors, and not by their shareholders, the rules governing derivative suits reflect the basic policy that, "whether or not a corporation shall seek to enforce in the courts a cause of action for damages is, like other business questions, ordinarily a matter of internal management, and is left to the discretion of the directors . . . ." *United Copper Secs. Co. v. Amalgamated Copper Co.*, 244 U.S. 261, 263 (1917). Therefore, there are safeguards built into the rules governing derivative claims which all derivative plaintiffs must follow, to assure that the action is truly to "enforce a right of a corporation . . . the corporation . . . having failed to enforce a right which may properly be asserted by it . . . ." Rule 23.1.[4]

---

[4] Procedural limitations on the use of the derivative avenue have always been a part of this Court's rules to assure shareholders a remedy for faithless management while guarding the corporation against abusive shareholders. *See generally Daily Income Fund, Inc. v. Fox*, 464 U.S. 523, 529-34 (1984). In its second opportunity to consider a derivative claim, the Court set rules which survive today in the requirements of Rule 23.1: (1) demand of the board of directors; (2) contemporaneous ownership of the shares; and (3) allegations that the suit was not collusive in order to confer federal jurisdiction. *Hawes v. Oakland*, 104 U.S. 450, 460-61 (1881). These requirements were implemented first in Equity Rule 94, then in Equity Rule 27, and later in Federal Rule of Civil Procedure 23(b). *See* Supplementary Advisory Committee Note to Federal Rule of Civil Procedure 23 (1937).

1. Only Representative Plaintiffs Who Abide by the Rule May Proceed.

The Rule provides that each representative plaintiff must have been "a shareholder . . . at the time of the transaction of which the plaintiff complains." Rule 23.1(1). The Rule also provides that the plaintiff allege with particularity "the efforts, if any, made by the plaintiff to obtain the action the plaintiff desires from the directors . . . ." Rule 23.1. Each plaintiff also must set out with particularity "the reasons for the plaintiff's failure to obtain the action or for not making the effort." *Id.* Finally, the Rule provides that "the derivative action may not be maintained if it appears that the plaintiff does not fairly and adequately represent the interests of the shareholders . . . similarly situated in enforcing the right of the corporation . . . ." *Id.*[5]

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[5] The requirement that plaintiffs fairly and adequately represent the interests of the shareholders of the corporation was adopted as a curb against strike suits by shareholders pursuing their own agendas to the detriment of the corporation and the majority of its shareholders. In the sixty years following implementation of Equity Rule 94, many states confronted abuse of the derivative action by enacting security-for-expense statutes in the hope that "a stockholder motivated by personal gain instead of the welfare of the corporation . . . would be deterred from bringing a spurious action, when the onus of the expense incurred by the corporation in defending it would be ultimately cast on the plaintiff as a consequence of the exposure of the action as meritless." *Roach v. Franchises Int'l, Inc.*, 32 A.D.2d 247, 250, 300 N.Y.S.2d 630, 633 (N.Y. App. Div. 1969). *See* Note, *Security for Expenses in Shareholders' Derivative Suits: Twenty-Three Years' Experience*, 4 COLUM. J.L. & SOC. PROBS. 50, 52 (1968). Neither the federal courts nor the courts of Delaware adopted such statutes, but both added the requirement that a plaintiff prosecuting a derivative action must fairly and adequately represent the interests of the shareholders as a precondition to the action.

2. The Derivative Plaintiffs Represent the Shareholders in Seeking To Cause the Corporation To Act.

The representative plaintiffs and their counsel are subject to attack when they do not represent the interests of the shareholders in their effort to cause the corporation to act. The lower courts have been sensitive to any conflict of interest between the named derivative plaintiff and the other owners of the corporation. *G.A. Enters., Inc. v. Leisure Living Communities, Inc.*, 517 F.2d 24 (1st Cir. 1975); *Nolen v. Shaw-Walker Co.*, 449 F.2d 506 (6th Cir. 1971). If a shareholder has interests which make it impossible for the shareholder to act in the interests of the other shareholders, the named plaintiff is not allowed to serve. *See Larson v. Dumke*, 900 F.2d 1363, 1367 (9th Cir.), *cert. denied sub nom. Round Table Pizza, Inc. v. Larson*, 498 U.S. 1012 (1990). Courts examine any evidence which suggests that the plaintiff will disregard the interests of the other shareholders in prosecuting the action. *See Lewis v. Curtis*, 671 F.2d 779 (3d Cir.), *cert. denied*, 459 U.S. 880 (1982); *Smallwood v. Pearl Brewing Co.*, 489 F.2d 579 (5th Cir.), *cert. denied*, 419 U.S. 873 (1974). Among the factors to which the courts have looked in evaluating the adequacy of a representative plaintiff are economic antagonism between the representative and the other shareholders, the relative magnitude of plaintiff's personal interests as compared to its interest in the derivative action itself, the remedy sought by the plaintiff compared to the benefit which it would confer upon the corporation and the other shareholders, and any vindictiveness which the named plaintiff may have against the defendants. *Larson v. Dumke*, 900 F.2d at 1367 (listing eight factors*); see also Rothenberg v.*

Security Management Co., 667 F.2d 958, 961 (11th Cir. 1982); *Davis v. Comed, Inc.*, 619 F.2d 588, 593-94 (6th Cir. 1980).

Yet derivative actions can be maintained by representative plaintiffs which do not have the support of a majority of the shareholders, provided that their actions meet the requirements of the Rule. *Halsted Video, Inc. v. Guttillo*, 115 F.R.D. 177, 179 (N.D. Ill. 1987).[6] If the

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[6] Adequacy of representation of shareholders in a derivative action is different from the issues that arise in the context of a class action under Rule 23. Rule 23.1 "requires that the shareholder allege that he is enforcing a right of the corporation that it refuses to enforce, a decision typically arrived at through a vote of its shareholders." 7C CHARLES A. WRIGHT, ET AL., FEDERAL PRACTICE AND PROCEDURE § 1833, at 137 (2d ed. 1986). The representative plaintiff speaks for those shareholders who assert that the company failed to act on a corporate right because they collectively seek to compel the corporation to act, regardless of their number. The distinction between Rule 23 and Rule 23.1 sharpens analysis of the adequacy of the representative plaintiffs: in a Rule 23 class action, courts must consider the size of the class in deciding whether to allow the claim to proceed, but that is not considered in a derivative context because:

> it has always been clear that a derivative action can be brought when the number of shareholders is too small to justify a class action. Because the derivative suit is brought to enforce the right of the corporation and the stockholders will benefit only indirectly, it has been thought that dollar amounts or numbers of representatives involved should not be relevant.

Id. at 140-41.

The focus on whether the plaintiffs represent the interests of the shareholders, rather than whether the number of shareholders is large enough to warrant attention, derives from the essential nature of a derivative suit. *See* 7C WRIGHT, ET AL., (continued...)

plaintiffs prevail, the benefit flows to the corporation, thereby conferring an indirect benefit on all shareholders. *See Cohen*, 337 U.S. at 548. Personal claims which a representative plaintiff may assert for itself are not affected by resolution of the derivative claims. *See, e.g., In re Louisiana-Pacific Corp. Derivative Litig.*, 705 A.2d 238, 241 (Del. 1997); 7C CHARLES A. WRIGHT, ET AL., FEDERAL PRACTICE AND PROCEDURE § 1840 at 196-201 (2d ed. 1986). Any representative plaintiff willing to soldier forward against a decision of the board of directors can win the benefit for all shareholders, whether or not those shareholders support the action. Ostensibly to win such benefits for all shareholders, CalPERS had intervened in at least two well-publicized cases before lodging its objection below.[7] For some

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[6] (...continued)

supra, § 1833, at 137. The drafters of Rule 23.1 gave effect to this distinction after "a preliminary analysis" of old Rule 23 "resulted in shearing away and dealing separately with the special situations of derivative actions . . . ." Benjamin Kaplan, *Continuing Work of the Civil Committee: 1966 Amendments of the Federal Rules of Civil Procedure (I)*, 81 HARV. L. REV. 356, 386-87 (1967). As Professor Kaplan put it, derivative actions "do not fit in the groove of class actions . . . they require special provisions regarding preconditions of suit such as demands on the corporation to bring the action." *Id.* at 387 n.118. Thus, the adequacy requirement of Rule 23.1 "are also intended to prevent shareholders from suing in place of the corporation in circumstances where the action would disserve the legitimate interests of the company or its shareholders." *Daily Income Fund, Inc.*, 464 U.S. at 532 n.7.

[7] *See Weiser v. Grace*, Index No. 106285/95, Sup. Ct., N.Y. Cty., N.Y., Commercial Division; *Kahn v. Sullivan*, 594 A.2d 48, 50 (Del. 1991). Petitioner FSBA has intervened and asserted derivative claims in at least one action. *See Board of* (continued...)

reason, however, petitioners chose not to assert the Company's claims below, either as parties plaintiff or as intervenors.

B. Shareholders Who Do Not Feel That Their Interests Are Being Represented Must Intervene To Play a Meaningful Role in the Derivative Litigation.

When there is a complaint about the adequacy of the representative plaintiffs or their counsel in a derivative action, the appropriate vehicle is to intervene under Rule 24. 7C WRIGHT, ET AL., *supra*, § 1839, at 179 (stating that the purpose of the notice provision of Rule 23.1 is to provide shareholders with sufficient information for them to make a [4]rational decision whether they should intervene in the settlement approval procedure.") The Advisory Committee Notes to the 1966 Amendments to Rule 24 anticipate the arguments which petitioners advance as justification for their decision *not* to intervene and reflect the decision of the drafters in favor of intervention.

Acknowledging that there may have been confusion on the point prior to the 1966 amendment, the Advisory Committee noted that, "[a] class member who claims that his 'representative' does not adequately represent him, and is able to establish that proposition with sufficient probability, should not be put to the risk of having a judgment entered in the action which by its

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[7] (...continued)
Administration of Florida v. Mercury Finance Co. intervening in *Thorpe v. Mercury Fin. Co.*, Case No. 97 CH 1440 (Circuit Court of Cook County, Illinois, Chancery Division).

terms extends to him, and be obliged to test the validity of the judgment as applied to his interest by a later collateral attack." For a shareholder under Rule 23.1 asserting a corporate claim, as opposed to a personal claim, there can be no collateral attack for inadequate representation as in a class action—he therefore has the option to enter the action below to press his position on behalf of the corporation. Intervention by shareholders in derivative suits is entirely consistent with the Advisory Committee Note to Rule 24 suggesting that a class member who does not feel adequately represented "should, as a general rule, be entitled to intervene in the action."

The Rule 24 avenue to participation and possible appeal is familiar to petitioners. In a recent case in which CalPERS successfully sought to intervene, CalPERS cited these same principles *in favor* of its intervention. *Weiser v. Grace*, Index No. 106285/95, Supreme Court of the State of New York, New York County, Commercial Division. There, the representative plaintiffs and defendants had reached tentative resolution of derivative claims brought against officers and directors of W.R. Grace & Co., on terms which CalPERS believed to be unacceptable. CalPERS moved to intervene either as of right or by permission, and to designate its counsel as plaintiffs' co-lead counsel in the action, under the New York State equivalent of Federal Rule of Civil Procedure 24. In its supporting brief, CalPERS made the following argument:

> CalPERS is not claiming, nor need it claim to intervene as of right, that present co-lead counsel are incompetent or unqualified. Rather, CalPERS is arguing that in this case, on the

specific facts presented, including the fact that they severely narrowed the scope of a possible settlement prior to examining many crucial documents, present co-lead counsel have not been adequately representing the interests of CalPERS as one of W.R. Grace's largest shareholders, or **may** not do so as the case continues. *** CPLR Rule 1012, which is based on Rule 24 of the Federal Rules of Civil Procedure, was intended to and did broaden and liberalize the process of intervention in New York, and "intervention is to be liberally allowed." [New York citation omitted]. Federal cases are in accord: *Trbovich v. United Mine Workers*, 404 U.S. 528, 538 n.10 (1972) ("burden of making showing of [inadequate representation] should be treated as minimal"); *Sierra Club v. Robertson*, 960 F.2d 83, 85-85 [sic] (8th Cir. 1992) (doubts regarding propriety of intervention should be resolved in favor of allowing it).[8]

Characterizing its grounds for intervention in *Weiser* in terms identical to its expression of dissatisfaction with the settlement below, CalPERS asserted that its "allegations of a grossly inadequate settlement coupled with woefully inadequate discovery easily meet the standard for intervention as of right, even without liberal construction."[9] Relying on New York law which is based substantively upon Rule 24, CalPERS noted

[8] Memorandum of Law of CalPERS in Support of Motion To Intervene and To Add Robinson Firm as Lead Counsel and for Related Relief, March 20, 1996, at 6-7 (emphasis in original).

[9] Reply Memorandum of Law of CalPERS in Support of Motion To Intervene and To Add Robinson Firm as Lead Counsel and for Related Relief, April 11, 1996, at 21.

that, "[w]hen the facts warrant, as they do here, a court may add parties *at any stage of an action*, and intervention may be granted even after final judgment."[10] CalPERS specifically relied upon New York precedent for the proposition that a "motion to intervene made after settlement of an action is not untimely where the intervenor is not actually involved in the controversy until after the settlement is reached."[11] The same principle applies under Rule 24. *United Airlines, Inc. v. McDonald*, 432 U.S. 385 (1977).

Petitioners knew the proper way to be heard on behalf of ADM's shareholders; one of them had intervened in *Weiser* one year earlier, forcefully and with success, to do exactly what petitioners professed to want to do below. In *Weiser*, the representative plaintiffs had opposed the effort to intervene, suggesting that CalPERS wait to lodge its objections to a formal settlement agreement. Replying to that suggestion in *Weiser*, in stark contrast to the position which petitioners take here, CalPERS characterized the very method it has employed in this action as "the least efficient way to protect the Grace shareholders from . . . the 'impending resolution' of their claims."[12]

Filing an appearance and objecting has always been thought of differently—and as something less than intervention with correspondingly lesser rights. *See*

[10] *Id.* (emphasis in original).

[11] *Id.* at 21-22 (citing *Hampton Heights Dev. Corp. v. Board of Water Supply*, 136 Misc.2d 906, 519 N.Y.S.2d 438 (Sup. Ct. 1987)).

[12] *Id.* at 14.

Edward Levi & James Moore, *Federal Intervention: II. The Procedure, Status, and Federal Jurisdictional Requirements*, 47 YALE L.J. 898, 938-39 (1938) ("It must be remembered that the right to be heard is not the same as intervention.") Professor Kaplan, Reporter to the Advisory Committee on Civil Rules, noted that this distinction was preserved in the 1966 Amendments to Rule 23, and therefore suggested that it would be advisable to set out in the notice to the class "the rights which the court proposes to allow 'appearing' members" in contrast to the rights afforded "parties." Benjamin Kaplan, *Continuing Work of the Civil Committee: 1966 Amendments to the Federal Rules of Civil Procedure (1)*, 81 HARV. L. REV. 356, 392 n.137 (1967).[13]

Petitioners obviously appreciated this distinction. One of the reasons asserted by CalPERS, and accepted by the New York court in *Weiser*, for seeking intervention as opposed to making an objection was that CalPERS wanted to have a "meaningful role in the case."[14] This "meaningful role" may be played only through intervention, as the drafters of the Federal Rules recognized:

> An intervenor must be sharply distinguished from a mere *amicus curiae* or a person who has been heard but has never intervened. Thus stockholders, who file petitions of intervention which are never acted upon, or bondholders

[13] Professor Kaplan opined that an "appearance" entitled "counsel to receive the papers in the action to enable him to follow the case with a view to deciding, *e.g.* whether he should intervene." Benjamin Kaplan, *Continuing Work of the Civil Committee: 1966 Amendments to the Federal Rules of Civil Procedure (1)*, 81 HARV. L. REV. 356, 392 n.137 (1967).

[14] Memorandum of Law of CalPERS, *supra* note 8, at 10 n.4.

> whose petition for intervention is dismissed, may not appeal from a final order entered later in the proceedings, since they were not parties to the action.

Levi & Moore, *supra*, at 906. Those authors emphasized that "the right to be heard is not the same as intervention" and that "[o]ne who is only given a right to be heard, and has not intervened, has no right of appeal." *Id.* at 938 (citing *In re Trust No. 2988 of the Foreman Tr. & Sav. Bank*, C.C.H. Bankr. Serv. ¶ 4216 (7th Cir. 1936) (bondholder who challenged reorganization plan could not appeal from final decree approving final account of trustee)). Similarly, Professor Kaplan noted that applicants who were *denied* intervention "cannot stop a settlement nor, if dissatisfied with the decree entered after contest, press their contentions on appeal . . . ." Kaplan, *supra*, at 405.[15]

[15] This Court has previously recognized that even intervention does not necessarily confer standing to appeal unless the intervenor himself meets the requirements of Article III of the Constitution. *International Union of Mine, Mill and Smelter Workers, Locals No. 15 v. Eagle-Picher Mining & Smelting Co.*, 325 U.S. 335, 338-39 (1945). Although the Court declined to decide "whether a party seeking to intervene before a District Court must satisfy not only the requirements of Rule 24(a)(2), but also satisfy the requirements of Art. III," in *Diamond v. Charles*, 476 U.S. 54, 69 (1986), it later relied upon *Diamond* for the proposition that "[a]n intervenor cannot step into the shoes of the original party unless the intervenor independently 'fulfills the requirements of Article III.'" *Arizonans for Official English v. Arizona*, ___ U.S. ___, 117 S. Ct. 1055, 1067 (1997) (citation omitted). Petitioners urge a rule that would add to the "anomalous decisions in the Courts of Appeal," *id.*, by allowing appeals to be taken by objectors who meet *neither* the requirements of Rule 24 *nor* Article III,

(continued...)

If petitioners' rule were adopted, shareholders could once again buy their shares after the injury, in derogation of Rule 23.1(1), then object and appeal a case which they could not have brought in the first place. *See Daily Income Fund, Inc. v. Fox*, 464 U.S. 523, 531 n.6 (1984) (requirement of pre-suit ownership "is now generally 'aimed at preventing the federal courts from being used to litigate purchased grievances'") (quoting 7A CHARLES A. WRIGHT, ET AL. FEDERAL PRACTICE AND PROCEDURE § 1828, at 341-42 (1st ed. 1972)). But "[t]he decision to seek review is not to be placed in the hands of concerned bystanders, persons who would seize it as a vehicle for the vindication of value interest." *Arizonans for Official English v. Arizona*, ___ U.S. ___, 117 S. Ct. 1055, 1067 (1997) (internal quotations omitted) (quoting *Diamond v. Charles*, 476 U.S. 54, 62 (1986)). Anyone with the ability and experience demonstrated by petitioners must have made a conscious decision, in the cold light of precedent, not to intervene for a private purpose that does not warrant a departure from the plain meaning of the Rules.

C. Petitioners Chose Not To Intervene in Order To Advance Their Private Agenda Without the Obligations Imposed Upon Representative Plaintiffs.

Petitioners' argument that intervention is too burdensome, and therefore would inhibit the settlement

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[15] (...continued)
nor, for that matter, Rule 23.1. This rule does prevent some shareholders from appealing, but they are shareholders who could not have started the suit in federal court.

process, confuses objection with intervention. Some shareholders will always disagree with a proposed derivative settlement. Only a shareholder who is prepared to argue that disagreement with her position is an abuse of the district court's discretion[16] should be allowed to arrest a resolution which the majority of the shareholders favor. To test the district court's exercise of its discretion against the objection on appeal, the shareholder who makes the majority await resolution of her complaint must satisfy all three requirements of Rule 23.1: ownership at the time of alleged injury; effort to put the question to the board; and adequacy of representation. An objector who is not prepared to plead those elements in a Rule 24 petition should not be allowed to invoke the jurisdiction of an appellate court.

The objection raised by petitioners was *not* the nature of the right which the representative plaintiffs sought to assert—recovery against those found guilty of wrongdoing. Nor was the objection raised by petitioners related to the *corporation's* assertion of that right—an issue which the proposed settlement postpones until the time provided in the indemnification agreements executed with the convicted director. The objection was petitioners' view of corporate governance, with which the Company, the directors and the district court disagreed.

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[16] The standard of review for settlement of a derivative claim is whether the district court abused its discretion in approving the terms of the settlement. *E.g., Granada Invs., Inc. v. DWG Corp.*, 962 F.2d 1203, 1204 (6th Cir. 1992); *see* 7C WRIGHT, ET AL., *supra*, § 3902.1 at 182.

Had petitioners sought to intervene, they would have filed the pleading required by Rule 24(c) "setting forth the claim or defense for which intervention is sought." That pleading would have revealed petitioners' purpose to impose a definition of director "independence" upon the company which its shareholders had defeated only eight months before—a definition which would not command the exercise of the district court's discretion exclusively in petitioners' favor. Had they filed such a pleading, petitioners would have been put to the task of explaining why their definition of "independence" was overwhelmingly better than that followed by the ABA, or the ALI, or the NACD, or TIAA-CREF, or by corporations to which CalPERS had given grades of "A" for corporate governance but which still did not follow the definition petitioners advocated below. These issues would have been awkward for petitioners, who have not otherwise justified their guidelines against the field of governance literature now available.[17]

In essence, petitioners avoided the obligations of Rule 23.1—including the obligation to allege ownership at the time of injury, rather than ownership at the time of settlement—and evaded the requirements of Rule 24 and Article III, to press a unique agenda over the expressed desires of 99% of the Company's shareholders.[18]

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[17] Petitioners do not negotiate the terms of their governance guidelines with corporations. Apparently petitioners believe that, were they to agree with a corporation on terms which differ from their published definitions, it would dilute the definitions.

[18] *Amici* Barclay's Global Investors, N.A., and others, argue that strict enforcement of the Federal Rules would prevent (continued...)

With their special interest laid bare, the procedural dilemma into which petitioners claim to have been forced does not seem so harsh. Petitioners chose their avenue by affirmatively deciding *not* to intervene and should not seek to change the law because they chose poorly.

Perhaps the best example of petitioners' overreaching is their claim to the universality of their principle of director independence. Cleverly mixing their terms, petitioners assert that their definition of "independence" is followed by "nearly 85 percent" of the S&P 500. JA 318. But in reality, nearly 85% of the S&P 500 agree only that a majority of their board members should be independent, not that they should meet the CalPERS definition of independence. The affidavit provided to the district court by Professor Coffee describes the other sources, such as the American Law Institute and the American Bar Association, to which a director might look for guidance on issues of corporate governance. JA 225-26.

The objections made by petitioners below ostensibly were based upon CalPERS' staff recommendations proposed, but not adopted, on June 16, 1997. Adam Bryant, *CalPERS Draws A Blueprint for Its Concept of*

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[18] (...continued)
them from being heard. Yet there is no impediment in the Rules to objection—even to those who did not purchase their stock until after the wrong of which complaint has been made. An objector who does not meet the requirements of Rule 23.1, however, cannot say that disagreement with it would be an abuse of discretion and then test the district court's exercise of its discretion on appeal. Those who cannot appeal are those who could not have brought the action in the first instance.

An Ideal Board, N.Y. TIMES, June 17, 1997, at D1. Those staff recommendations were immediately attacked by members of the CalPERS Board, *see, e.g.*, Paul Schnitt, *PERS Directors Reject Principles Aimed at Boards*, SACRAMENTO BEE, June 17, 1997, at C1; Matthew Greco, *CalPERS Debates Stronger Governance*, INVESTOR RELATIONS BUSINESS, June 30, 1997; and withdrawn to facilitate an "open forum" on the role investors such as CalPERS should play in the governance dialogue. *CalPERS Adopts U.S. Corporate Governance Standards*, BUSINESS WIRE, Apr. 13, 1998. On April 13, 1998, CalPERS issued a revised set of governance guidelines, acknowledging that there is "no current agreement as to what constitutes 'independence.'" CalPERS, *Corporate Governance Core Principles & Guidelines*, Apr. 13, 1998, at 8.[19] In objecting, petitioners simply "didn't agree" with the parties, JA 340, but never suggested that it would be improper to adopt a definition of "independence" different from their own.

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[19] Appendix B-2 to the 1998 CalPERS Core Principles shows the differences between the CalPERS proposal and corollaries in the Investment Company Act of 1940, 15 U.S.C. § 80a; regulations under the Securities Exchange Act of 1934, 17 C.F.R. § 240.16b-3; regulations under Section 162 of the Internal Revenue Code, 28 C.F.R. § 1.162-27; regulations governing the FDIC, 12 C.F.R. part 363, app. A.; the by-laws of the National Association of Securities Dealers, subdivision D, Schedule D, Part II; the New York Stock Exchange Listed Company Manual, § 303.00; as well as the ABA *Directors Handbook*, the ALI *Principles of Corporate Governance*, and the NACD 1996 Blue Ribbon Commission on Director Professionalism upon which Professor Coffee had based his comparison. JA 225-26. CalPERS also acknowledged its differences with the Business Roundtable's 1997 Statement of Corporate Governance, which rejected the CII Core Policies upon which petitioners relied below. *See infra* note 20.

Studies being conducted at the time the district court held the settlement hearing showed that the standards which petitioners urged were far from universal. Of the 861 public companies in the Fortune 1000 in the summer of 1997, only *one*—Texas Instruments—met a wide range of these governance tests. Adam Bryant, *The Search for the Perfect Corporate Board*, N.Y. TIMES, August 3, 1997. John Nash, the President of the National Association of Corporate Directors, and a well-known authority on corporate governance, was forced to suggest in the summer of 1997 that, "[t]he pendulum has swung too far, and CalPERS is starting to overreach." *Id.* Subsequently published guidelines on corporate governance, including those by The Business Roundtable and the world's largest pension fund, TIAA-CREF, rejected the approach urged by petitioners below and instead adopted positions on director independence that are consistent with those approved by the district court.[20] Since petitioners had not previously addressed

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[20] Petitioners expressed dismay that ADM's definitions did not impose an absolute bar on any connection between a director and the Company except the director's fee and personal stock holdings. JA 308-09. Since petitioners lodged their objection in the district court, two significant corporate governance statements have been published, both of which reject petitioners' position and embrace definitions of director independence consistent with that adopted in the proposed settlement. TIAA-CREF defined independence to mean "no present or former employment by the company or any significant financial or personal tie to the company or its management which could interfere with the director's loyalty to shareholders." TIAA-CREF Policy Statement on Corporate Governance (October 1997). The Business Roundtable offered the following observation about director independence:

(continued...)

why their definitions were better than those adopted by other influential organizations—and certainly could not show how it would be an abuse of discretion to disagree with their definition of "independence"—a Rule 24

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[20] (...continued)

> The degree of independence of an outside director may be affected by many factors, including the personal stature of the director and any business relationship of the director with the corporation or any business or personal relationship of the director with management. Directors, or firms in which they have an interest, are sometimes engaged to provide legal, consulting, accounting or other services to the corporation, or a director may have an interest in a customer, supplier or business partner of the corporation, or may at an earlier point in his or her career have been an employee or officer of the company. Depending upon their relationship to the director and to the corporation, such relationships may affect a director's actual or perceived independence. The Business Roundtable believes that, where such relationships exist, boards should be mindful of them and make a judgment about a director's independence based on his or her individual circumstances rather than through the mechanical application of rigid criteria. This would involve consideration of whether the relationships are sufficiently significant as to interfere with the director's exercise of independent judgment.

The Business Roundtable, *The Business Roundtable Statement on Corporate Governance*, Sept. 1997, at 10-11.

These definitions are consistent with those previously adopted by the ABA, ALI and NACD, as described in the affidavits of Professor Coffee, JA 327 ("the prevailing approach today among large public corporations"), and Professor Dooley, JA 280, as well as the definition found in the settlement approved below.

pleading seeking to intervene would not have served petitioners' purpose.[21]

Petitioners chose to object, rather than to intervene, for their own reasons. As objectors, they could criticize the settlement, argue for different terms, or even urge that the matter be litigated. To intervene and appeal, however, petitioners must argue that to disagree with them would be an abuse of discretion. To make that argument on appeal, they must show that they meet the requirements of Rule 23.1, either as plaintiffs or as Rule 24 intervenors. Petitioners sidestepped the pleading which intervention would have required while pursuing an agenda distinct from the welfare of the overwhelming majority of ADM shareholders. Had they followed the course chosen by CalPERS in *Weiser* or FSBA in *Mercury Finance*, they could have pressed corporate rights, rather than their own, as Rule 23.1 requires.

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[21] These differences among institutional investors continue, reinforcing the discretionary nature of governance decisions. For example, TIAA-CREF recently withdrew its shareholder resolution challenging Walt Disney Company's definition of director "independence," Joann S. Lublin, *Major Disney Investor Scraps Proposal Calling for Greater Board Independence*, WALL ST. J., December 4, 1998, while CII continues to press its definiation on Disney in court. *See* Motion by the Council of Institutional Investors for Leave To File an *Amicus Curiae* Brief, *Brehm v. Eisner*, Docket No. 469, 1998 (Del.), filed November 19, 1998. Clearly, there is no agreement, even among institutional investors, on the definition which petitioners insist should have been adopted below.

II. NONPARTY SHAREHOLDERS SEEKING TO APPEAL FROM APPROVAL OF A DERIVATIVE SETTLEMENT FALL OUTSIDE THE LIMITED CLASS OF NONPARTIES HISTORICALLY PERMITTED TO APPEAL.

A. Petitioners Misconstrue the Status of Shareholders in a Derivative Action.

Petitioners and the government cite numerous cases, including much 19th century and early 20th century authority, in an effort to place nonparty shareholders in a derivative suit within that small category of "quasi-parties" or "*de facto* parties" who are sometimes permitted to appeal. Pet. Br. 16-28; G. Br. 5-19. In essence, petitioners claim party status because, as they would have it, shareholders given notice of a settlement pursuant to Rule 23.1 are thereby "summoned to court." Pet. Br. 2; G. Br. 6-7. As petitioners see it, allowing them to appeal from settlement of a derivative suit is appropriate because "the shareholder's rights are being adjudicated in the action." Pet. Br. 11.

The fundamental problem with petitioners' view is a misperception of the nature of a derivative action. As explained in the preceding section, it is not the shareholder's rights that are adjudicated in a derivative action; it is the rights of the corporation. Unlike class members in a class action who constitute a plaintiff class, the shareholders do not constitute the corporation on whose behalf a derivative suit is brought. The corporation is an entirely separate entity owned by the shareholders. Any rights to be adjudicated are those of the corporation.

Petitioners similarly distort the character of the notice provisions in Rule 23.1. The Rule says only that

notice of a proposed "dismissal or compromise shall be given to shareholders . . . in such manner as the court directs." There is no order to appear, and, although the practice in the district courts is to afford objecting shareholders an opportunity to be heard, there is no requirement of a hearing or even mention of a right to object. The provision is, on its face, simply a notice provision; yet petitioners would transform it into a command to appear.

As one court of appeals recently observed when faced with a nonparty class member who argued that a notice of settlement meant he had been "summoned into court" and "compelled to appear," it is "only when the court affirmatively orders a non-named party to appear that the party has standing to appeal. [The class member] pushed his way into court; he was not pulled there." *Wilkenson v. Hercules Engines, Inc.*, 138 F.3d 608, 611 (6th Cir. 1998). Indeed, the terms of the notice of hearing below are far removed from a "summons to appear." The notice states that it "is merely to *advise* you of the pendency and proposed Settlement of the Derivative Claims and of your rights thereunder," JA 135, and that "[a]ny current shareholder of ADM *may* appear at the Settlement Hearing . . . ." JA 140 (emphasis added).[22] Petitioners came to court because they

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[22] Petitioners quote from the Order Preliminarily Approving the Notice rather than the Notice itself, and intentionally excise the discretionary verb "may" from their description of the Notice in order to manufacture the following mandatory tone: "(notice directing '[a]ny shareholder of record of ADM' to 'appear and show cause, if he, she, or it has any [reason] why

(continued...)

wanted to do so, not because they were compelled by a court to do so.

B. The Precedent Cited by Petitioners Does Not Support a Rule That Nonparty Shareholders in a Derivative Action Should Be Permitted To Appeal.

The cases cited by petitioners do not constitute a body of law which would encompass the notion that nonparty shareholders are so affected by settlement of a derivative suit that they should have a right to appeal from its approval. *Cf.* Levi & Moore, *supra*, at 906. On the contrary, all of the cases involve nonparties with genuine, direct interests in the proceedings who were compelled to appear in court to protect a right or to make a claim. Only nonparties who fall within this narrow and readily identifiable category should be (and have been) exempted from the rule of *Marino* and permitted to appeal. A prominent treatise, much cited and quoted by petitioners, adopts a similar view:

> When it is possible to seek intervention, however, there is much to be said for requiring that the process of appeal be regularized by seeking intervention. *Appeal by way of a simple notice*

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[22] (...continued)
the proposed settlement of the derivative claims . . . should or should not be entered thereon')." Compare Pet. Br. 8 with JA 148. Such blatant mischaracterization would seem unnecessary if there were any strength in the position that a Rule 23.1 notice should stand alongside court orders from which nonparties historically may appeal.

> *of appeal should be available only to nonparties directly bound or affected by an order.*
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> 15A CHARLES A. WRIGHT, ET AL., FEDERAL PRACTICE AND PROCEDURE § 3902.1, at 132 (2d ed. 1986) (emphasis added).

The cases upon which petitioners and their *amici* rely all deal with persons directly bound by resolution of their particular claims. They do not reach judgments binding on corporate entities, whose shareholders are collectively bound by their status as shareholders, concerning claims which belong peculiarly to the corporation.

1. *Johnson*, *Cohen* and Related Decisions.

Both petitioners and the government cite cases from the first half of this century for the proposition that the rights of "*de facto*" or "quasi" parties include the right to appeal. Pet. Br. 21-22; G. Br. 5-8. The only decision of this Court cited is *Johnson v. Manhattan Railway Co.*, 289 U.S. 479 (1933), where this Court, according to petitioner, "concluded that corporate shareholders who received notice of proceedings involving a proposed temporary receivership were '*entitled*' to appear in district court—and to appeal—without taking any other steps." Pet. Br. 21 (emphasis by petitioner). Petitioners' summary of the case is at best misleading because *Johnson* involved much more than mere "notice of proceedings." In fact, the shareholders were haled into court by an order to show cause why a receivership should not be continued during the pendency of litigation. *Johnson*, 289 U.S. at 489, 495. Their situation was quite different from nonparty shareholders in a deriva-

tive suit context who are not compelled to appear at all.[23]

Similarly, in *Cohen v. Young*, 127 F.2d 721 (6th Cir. 1942), the shareholder "appeared . . . in answer to the court's notice to show cause" why a derivative action should not be settled; "he was 'like a defendant who is summoned by process of court and after an adverse ruling has the right to appeal.'" 127 F.2d at 124 (quoting *Pianta v. H.M. Reich Co.*, 77 F.2d 888, 890 (2d Cir. 1935)). The decision in *Cohen* hinged on the court's view that the shareholder had in fact been ordered into court under Rule 23(b), something that does not occur under Rule 23.1. The government therefore has it wrong in suggesting that *Cohen* laid the foundation for modern application of any rules, G. Br. 6, other than rules for those responding to court process.

Petitioners would characterize *Cohen* as a watershed; if so, it yields a brackish trickle feeding only those who have been affirmatively and personally called into court outside the ordinary course. In fact, two recent Sixth Circuit cases viewed *Cohen* in exactly that way and refused to permit nonparty class members (who received the same kind of nonmandatory notice as non-

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[23] The government refers to the observation in James Moore & Edward Levi, *Federal Intervention I. The Right to Intervene and Reorganization*, 45 YALE L.J. 565, 592 (1936), that a "stockholder typically cannot intervene in a lawsuit because litigation decisions are controlled by directors and officers of the corporation," G. Br. 7, to support its reading of *Johnson*. In fact, Moore & Levi were talking about the prohibition against intervention by a shareholder into an action being prosecuted or defended by a corporation, not intervention in a derivative suit.

party shareholders in a derivative suit) to appeal from class settlements. In *Shults v. Champion International Corp.*, 35 F.3d 1056 (6th Cir. 1994), the court distinguished *Cohen* as a case where "an unnamed member of a derivative suit who has not been allowed to intervene may nonetheless have standing to appeal if the district court has haled him into court." 35 F.3d at 1060. The court then concluded that "for a non-named class member to have standing to appeal, there must be more than a mere requirement of notice . . . ." *Id.* In *Wilkenson*, the court again noted that the appellant in *Cohen* "had received an order to show cause . . . [and] had no choice but to participate in the proceedings." 138 F.3d at 611. The *Wilkenson* court then rejected the nonparty class member's argument that he similarly had been "summoned" into court: "[i]t is only when the court affirmatively orders a non-named party to appear that the party has standing to appeal." *Id.*

Other cases cited by petitioners and the government in discussing *Johnson* and *Cohen* also involve nonparties who in one way or another received mandatory direction to appear in court. *See Pianta v. H.M. Reich*, 77 F.2d 888 (appeal by nonparty creditor who appeared in response to an order to show cause); *Christian v. R. Hoe & Co.*, 63 F.2d 218 (2d Cir. 1933) (appeal by shareholder and creditor who appeared in response to an order to show cause); *Mitchell v. Lay*, 48 F.2d 79 (9th Cir. 1930) (appealing lower court's injunction, specifically naming the appellant, forbidding him to proceed with certain litigation); *Blake v. District Court*, 59 F.2d 78 (9th Cir. 1932) (appeal dismissed for failure to exhaust remedies below). They do not provide a fair analogy to a shareholder who receives notice of settlement of a

derivative suit to which he may object under Rule 23.1.[24]

2. *Blossom v. The Milwaukee & Chicago Railroad Co.* and *Williams v. Morgan.*

The government places great emphasis on this Court's decision in *Blossom v. The Milwaukee & Chicago Railroad Co.*, 68 U.S. (1 Wall.) 655 (1863), citing it as a prime example of a case where a "quasi-party" is permitted to appeal. G. Br. 9-11, 17. It may be that, but it is also an example of a case where the nonparty, unlike a nonparty shareholder considering whether to settle the corporation's claims in a derivative suit, was directly bound by a court's order.

In *Blossom*, the court foreclosed a mortgage and ordered a sale of the mortgaged property. 68 U.S. at 655. Blossom, a nonparty, made a bid for the property when it was offered for sale, but the sale was then suspended. *Id.* The lower court refused Blossom's petition to have the sale completed, raising the issue of his right to appeal. *Id.* This Court noted that Blossom never could have appealed from the original decree but that, by way of his bid at the foreclosure sale, he fell into a category of "quasi-parties" who "become connected with the case, in the course of the subsequent proceedings, in such a manner as to subject them to the

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[24] The government's reliance on William Haudek, *The Settlement and Dismissal of Stockholders' Actions—Part II: The Settlement*, 22 Sw. L.J. 765, 792 (1968), is misplaced because the author relies only on *Cohen v. Young* and two cases citing to it.

jurisdiction of the court, and render them liable to its orders . . . ." *Id.* at 656. Other persons falling within this category are "[s]ureties, signing appeal bonds, stay bonds, and receipters under writs of attachment" as well as nonparty creditors with an interest in "a fund to be distributed to parties . . . ." *Id.* In other words, the quasi-parties treated in *Blossom* are persons with a direct financial interest in a proceeding.

Nonparty shareholders in a derivative suit do not hold that direct financial interest; their stake is indirect as owners of the entity which itself may have a financial interest. Nor does the notice to shareholders of a settlement under Rule 23.1 "subject them to the jurisdiction of the court" as did Blossom's bid at the court-ordered foreclosure sale. Indeed, this Court found it equitable that Blossom should be able to make his claim because a bidder at a foreclosure sale also "can be compelled to perform his agreement specifically." *Blossom*, 68 U.S. at 656. A nonparty shareholder, of course, subjects himself to no such consequence of jurisdiction. *Blossom*, therefore, is inapposite.

The government cites *Williams v. Morgan*, 111 U.S. 684 (1884), which followed *Blossom*, but only because *Williams* also involved parties with a direct financial interest in a case. When a railroad was sold after a mortgage foreclosure, nonparty bondholders became "virtually the purchasers" of the railroad and thus had a direct interest in the amount of a trustee's compensation. *Id.* at 697. As this Court put it, "it was a matter of great moment to the purchasers, for every dollar allowed to the trustees was so much less for them." *Id.* This Court also noted that such nonparties are "allowed to intervene" and referred to "their right or claim." *Id.*

at 699. The contrast with nonparty shareholders is apparent.

The government cites to several other cases upon which the *Williams* court relied. G. Br. 10-11 n.4. Each of these cases, however, involved a purchaser at a foreclosure sale, a receiver ordered to pay a sum of money, or other nonparty with the same kind of direct financial stake as the bondholders in *Williams*. Early chancery cases cited by petitioners are similar in nature. Pet. Br. 19-20. None deal with the rights of owners of an entity which has its own legal existence, its own management, its own counsel and its own set of rights distinct from those of its owners.

3. *United States ex rel. Louisiana v. Judge Boarman*

Petitioners point to *United States ex rel. Louisiana v. Judge Boarman*, 244 U.S. 397 (1917), the "lone case cited in the pertinent passage of *Marino*," as establishing that "part[ies] *and priv[ies] to the record*" may appeal an adverse decision. Pet. Br. 24 (emphasis by petitioners). According to petitioners, "nonparty shareholders are at least 'privy to the record' in derivative suits," although they neither cite authority for that proposition, nor offer any definition of the term.

The emptiness of petitioners' position—and indeed the general confusion engendered by trying to place nonparty shareholders in the class of nonparties historically permitted to appeal—is reflected in the government's brief. These cases, permitting appeals only by parties or privies, actually state a general rule to which the "quasi-party" cases form a narrow exception. After

reviewing the "quasi-party" cases to support the idea that nonparty shareholders should be allowed to appeal, the government states:

> During the same era in which the Court was developing the narrow right of quasi parties to appeal in limited circumstances, it was also considering numerous cases involving the "well settled maxim of the law, that 'no person can bring a writ of error to reverse a judgment who is not a party or privy to the record.'" *Bayard v. Lombard*, 50 U.S. (9 How.) 529, 551 (1850). Rather than calling into question the general principle that only a party or a privy to the record may appeal, the doctrine of quasi parties complemented – indeed exemplified – that rule. In more recent years, the Court has invoked the general principle that only parties may appeal without mentioning (and, presumably, without intending to cast doubt on) its quasi party cases.

G. Br. 11-12 (footnote omitted).

In other words, the government turns to the quasi-party concept because it concedes that under the strict "parties and privies" rule a nonparty shareholder would not be permitted to appeal—the exact opposite of petitioners' view. Such a fundamental conflict is typical where the applicable precedent, when viewed as a whole, does not support a given position. Its proponents therefore must resort to contriving a regime of *stare decisis* that simply does not exist.

The government's exposition of the "parties and privies only" cases is also quite instructive concerning the kinds of cases where this Court historically has refused to permit nonparty appeals—cases that are

much more closely related to the nonparty shareholder situation involved here. G. Br. 11-12 n.6. For example, in *Ex parte Cutting*, 94 U.S. 14 (1876), this Court refused to hear an appeal by shareholders who sought to defend a mortgage foreclosure involving their corporation. This Court, in language that rings true through to the modern derivative suit context, stated:

> Neither can these petitioners appeal as stockholders. Only parties, or those who represent them, can appeal. The stockholders do not represent the corporation, but for some purposes the corporation represents them. They are sometimes admitted as parties to a suit, for the purpose of protecting their own interests in the corporation against unfounded and illegal claims against it, but this "remedy is an extreme one, and should be admitted by the court with hesitation and caution."

Id. at 19 (quoting *Bronson v. LaCross and Milwaukee R.R. Co.*, 69 U.S. (2 Wall.) 283, 302-03 (1864)).

4. Other Cases.

Petitioners view the Seventh Circuit's application of *Marino* as portending great upheaval in "an enormous body of settled law." Pet. Br. 25. Petitioners then cite to dozens of cases where nonparties have been permitted to appeal in "a wide range of circumstances." Pet. Br. 25. None of these cases, however, is threatened by the Seventh Circuit's decision; in fact, the nonparties in these three categories of cases were the subject of court process, *i.e.*, the courts had issued orders directed to the nonparties. The cases are thus consistent with the older "quasi-party" cases and distinct from a derivative

case where nonparty shareholders have no such direct involvement. Neither together nor individually do they mandate the result petitioners seek.

a. Cases Binding a Nonparty by Name.

Petitioners themselves characterize these cases in a way that makes them clearly distinguishable from derivative suits, *i.e.*, "nonparty appeals from judgments that bind the nonparty by name." Pet. Br. 25. Nonparty shareholders, of course, are not bound by name in any judgment of a district court. The cases cited by petitioners mostly involve injunctions directed to a specific party. Where a nonparty is bound by an injunction, it may appeal its entry. *Thompson v. Freeman*, 648 F.2d 1144, 1148 n.5 (8th Cir. 1981) (citing *Zenith Radio Corp. v. Hazeltine Research, Inc.*, 395 U.S. 100, 110 (1969)). *See also* 15A WRIGHT, ET AL., *supra*, § 3902.1, at 122 & n.35. Others are far removed from the context here. *See, e.g., EEOC v. Pan Am. World Airways, Inc.*, 897 F.2d 1499, 1504 (9th Cir.) (nonparty in age discrimination class action has "personal stake in outcome" and stood "to recover a substantial amount"), *cert. denied sub nom. Keith v. EEOC*, 498 U.S. 815 (1990); *Hal Roach Studios, Inc. v. Richard Feiner and Co.*, 896 F.2d 1542 (9th Cir. 1990) (judgment actually entered against nonparty by name); *SEC v. Wencke*, 783 F.2d 829, 834 (9th Cir. 1986) (a "receiver has haled the nonparty into the proceeding against his will").

Another category identified by petitioners is "nonparty witnesses held in contempt for refusing discovery to appeal on claims of privilege, lack of personal jurisdiction, and other matters." Pet. Br. 25-26. This category, however, is really a subcategory of persons specifically

named in process issued by the court. They all appear because they are compelled to do so; for if they do not, no one else will speak for them. For example, a person summoned to court to show cause why he should not be held in contempt of that court stands in a place far different than a shareholder who receives notice that a corporation in which he owns stock has proposed to settle a derivative claim with plaintiffs who have a duty to speak for him in asserting the corporation's rights.

b. Attorneys' Fees.

Petitioners cite to another group of cases where courts "allow attorneys and expert witnesses to appeal district court denials of fees." Pet. Br. 26. Again, such cases personally address a nonparty and his financial interest. While shareholders certainly have a financial stake in the fate of corporations whose stock they own, any financial recovery in a derivative case goes *to the corporation*, not to the shareholder.

c. Nonparties Obligated To Reimburse Defendants.

Finally, petitioners point to cases where courts permit appeals by nonparties who are "obligated to reimburse the defendant for amounts paid under the trial court's judgment." Pet. Br. 26. One cited example is *Fields v. Blum*, 629 F.2d 825 (2d Cir. 1980), where the court permitted the state to appeal from an order enjoining a reduction in welfare benefits because the state was legally required to reimburse the city for the payments and controlled both the activities complained of and the conduct of the local officials. Pet. Br. 26 n.25. As the

government points out, however, nonparty shareholders are quite different from units of government bound to make public payments. Shareholders are liable only to the extent of their investment—which should not be diminished in a derivative suit—and have no direct obligation to make payments to corporate creditors.

C. Rule 23.1 Does Not Embody the Concept of Nonparty Shareholders as "*De Facto* Parties" or "Quasi-Parties."

Petitioners and the government argue that Rule 23.1, because it was based on "existing law," somehow embodies the principle that nonparty shareholders are entitled to appeal from settlement of a derivative suit. Pet. Br. 18; G. Br. 12-19. This argument suffers from petitioners' misperception of the "existing law" defining the kind of nonparties who have been permitted to appeal. As described in the preceding section, that body of law permits a nonparty to appeal where it is directly bound or affected by a court's action. Rule 23.1 does not contemplate, and does not in practice have, that sort of binding effect on nonparty shareholders who are bound only by the limitations placed upon their corporation. Nonparty shareholders simply are not in the class of persons who, as discussed above, historically have been permitted to appeal a judgment to which they were not parties.

Petitioners go to great lengths to distinguish the status of a shareholder in a derivative suit from that of a shareholder in other suits brought by or on behalf of the corporation. These efforts fail because the argument boils down to the assertion that shareholders should be permitted to appeal because "the shareholders necessar-

ily benefit from whatever recovery the corporation may realize on its claims," G. Br. 12-13, and "the shareholder's rights are being adjudicated in the action." Pet. Br. 11. If such a simplistic test were applied, of course, any shareholder could ignore corporate management, corporate identity and the corporate board to appeal from the final judgment in any action involving the corporation, after trial or otherwise. As the court of appeals observed below concerning *Bell Atl. Corp. v. Bolger*, 2 F.3d 1304 (3d Cir. 1993):

> The third circuit conceived of the question as whether the shareholder has standing, which is misleading. Standing means injury in fact, and a reduction in the market price of one's stock is injury. Parties are a subset of injured persons. Equating injury with party status is exactly the approach disapproved by *Marino*.

134 F.3d at 876.[25]

The government also seeks to distinguish the procedure under Rule 23.1 from provisions in laws such as the Antitrust Penalties and Procedure Act, 15 U.S.C.

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[25] The government, at least, seems to comprehend that granting petitioners what they seek could open the doors to all varieties of shareholder appeals. The government cautions that "recognition of quasi party status . . . should be sparing indeed." G. Br. 15-18. The government suggests allowing an appeal only on the issue to which objection is made; but if the issue is the settlement of the entire claim, then *everything in the case could be appealed.* This plea for a tiny crack in the door for shareholders in a derivative suit neither provides reassurance nor, more importantly, addresses the reality of a shareholder's status pressing a *corporate* claim in a derivative suit. Worse yet, if that door opens under Rule 23.1, the door will swing wide under Rule 23.

§ 16(b)-(H), and the Comprehensive Environmental Response, Compensation and Liability Act ("CERCLA"), 42 U.S.C. § 9622(d)(2), where members of the public are given notice and an opportunity to be heard before entry of a settlement engineered by the government, but have no right to stop the settlement or to take an appeal. The analogy to a government action in the public interest only helps to define the status of a shareholder in a derivative suit by describing another area of the law in which nonparties may appear and object, but must take some additional action if they wish to force appellate review.

In a CERCLA settlement, for example, members of the public are clearly affected—sometimes physically—by the extent to which a contaminated site in their community is remediated. Like nonparty shareholders, they have an interest which the law recognizes by permitting them an opportunity to be heard on a settlement. Yet, like nonparty shareholders, they do not become subject to the jurisdiction of the agency or the courts so as to qualify as "quasi-parties," and thus they have no right to appeal. The statute and regulations circumscribe the rights of the public under CERCLA just as Rule 23.1 delineates the rights of shareholders. The government's argument proves only that there are other areas where notice to those affected by a settlement, and even an opportunity to be heard on the merits of the settlement, does not transform into a "summons to appear" giving rise to a right to appeal.

The exceptions carved for nonparty appeals are rare and limited. The confusion reflected in the contradictions between petitioners' analysis of these cases and that suggested by the government does not compel fur-

ther exceptions. Entities who wish to take an active role in the prosecution of a case have the avenue of intervention provided by Rule 24. It is a fairly easy avenue for shareholders to travel in a derivative suit; they need not try to fit themselves into narrow exceptions. The actions of these petitioners below certainly do not warrant creating new exceptions to the Federal Rules.

CONCLUSION

For the reasons stated, the director defendants respectfully request that this Court affirm the judgment of the United States Court of Appeals for the Seventh Circuit.

Respectfully submitted,

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